

# ZOFF Foods: Betting the House on Quick Commerce?

*A Harvard-style teaching case on pricing and channel strategy in India's D2C spice category*

Prepared by: Group 1 | Course: Pricing | Scaler School of Business | 2026

This case was written for classroom discussion as an academic exercise. It is based on publicly available company statements, press interviews, and third-party industry data (see the Sourcing & Assumptions Note and endnotes at the end of this document). ZOFF Foods and its founders are real; certain scene-level details, internal dialogue, and specific unit-economics figures not disclosed publicly have been constructed for pedagogical purposes, clearly built on and consistent with the cited public data. This case is not authorized, reviewed, or endorsed by ZOFF Foods.

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## 1. Opening Hook and Decision Context

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On the second Monday of July 2026, Akash Agrawalla closed his laptop lid halfway, then opened it again. Two spreadsheets sat side by side on his screen. One was titled *QC\_H2\_Budget\_v4*. The other was *GT\_Bharat\_Expansion\_v2*. Between them, they represented the entire discretionary growth budget ZOFF Foods had left to deploy before its board reconvened in fifteen days — and Akash, co-founder and the executive most identified with the brand's meteoric rise, could not honestly tell his board which one deserved the larger number.

Two developments had forced the question. First, Blinkit and Swiggy Instamart had both restructured their category commission slabs for packaged foods and condiments that quarter, layering higher ad-spend minimums on top of existing commissions — part of a

platform-wide shift in which quick commerce margins for FMCG sellers had been quietly eroding even as reported sales kept climbing.<sup>1</sup> ZOFF's own performance-marketing team had flagged that the "true" return on ad spend on its best-selling masala SKUs, after commissions, mandatory listing fees, and discount funding, had slipped for the third consecutive quarter. Second, Tata Consumer Products — owner of Tata Sampann, one of ZOFF's most credible branded competitors — had begun offering enhanced trade margins and extended credit terms to general trade (GT) retailers as part of a broader FMCG-industry pivot back toward kirana stores, a channel several large players had partly neglected during the quick-commerce boom of the previous two years.<sup>2</sup> It meant the general trade universe ZOFF was courting in Uttar Pradesh and Bihar as part of its new "Bharat" expansion was, at the same moment, being courted by companies with vastly deeper distribution budgets.

The decision mattered because ZOFF's next twelve to eighteen months would very likely determine what kind of company it became. The business had scaled from a Raipur garage operation to a brand doing business with a projected turnover of roughly ₹170–200 crore in FY26 — built overwhelmingly on the back of quick commerce, the channel that had taken ZOFF from a regional spice-maker to a recognizable name in urban kitchens across India.<sup>3</sup> But quick commerce's unit economics were now working against the very brand it had built. Akash's board — which included JM Financial Private Equity and boAt co-founder Aman Gupta, both of whom had backed ZOFF's stated ambition of an IPO within four to five years — would expect him to walk into the July meeting with a clear point of view: keep pressing the accelerator on the channel that built the brand, or start reallocating capital toward the slower, harder, but potentially more defensible general trade network the company had always said it eventually wanted to own.<sup>4</sup>

It needed to be decided now, not in a quarter, because both paths required irreversible-feeling commitments: quick commerce ad budgets had to be locked in for festive-season placement within the week, and the general trade sales force ZOFF was trying to build in North India needed a firm distributor-incentive budget before its next hiring cycle. Akash could not fund both at the level each team believed it needed.

## 2. Company Background

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**Founding and evolution.** ZOFF Foods was founded in 2018 in Raipur, Chhattisgarh, by Akash Agrawalla and Ashish Agrawal, at a time when India's branded spice category was still dominated by decades-old regional and national players with deep general-trade roots —

MDH, Everest, Catch, Tata Sampann, and others.<sup>5</sup> ZOFF's founding wedge was a "cool-grinding" process that ground spices at temperatures below 60°C, a manufacturing choice the founders argued preserved aroma and nutritional value better than conventional high-heat grinding used by most incumbents. From the outset, the company positioned itself as a quality-first, digitally native challenger rather than a mass-market commodity spice seller.

**Vision and strategic objectives.** Akash has publicly described ZOFF's ambition as building "an accessible retail channel" model that lets ZOFF meet Indian consumers "wherever they already shop," rather than forcing a single channel preference — a philosophy the company summarizes internally as being "omnichannel by design."<sup>6</sup> The founders have stated an intention to take the company public within four to five years, with a longer-term ambition of building a ₹1,000-crore-plus food business.<sup>7</sup> That ambition shapes everything downstream: an IPO-track company needs a growth story that also reads, credibly, as a profitable and defensible one.

**Business model.** ZOFF manufactures and markets packaged spices, blended masalas, dry fruits, seasonings, and ready-to-cook gravies and marinade mixes, selling through three parallel channels: quick commerce apps (principally Blinkit and Zepto), e-commerce marketplaces (Amazon and Flipkart), and general trade — brick-and-mortar kirana and provision stores reached through a traditional distributor network. Each channel carries a fundamentally different cost structure, a fact that sits at the heart of the company's current dilemma (see Section 4).

**Product portfolio.** The company sells more than 100 SKUs spanning everyday cooking staples (turmeric powder, chilli powder, black salt) and blended masalas, alongside newer categories including ready-to-use gravies and immunity-forward blends. Pack architecture is deliberately segmented: smaller, lower-priced packs aimed at price-sensitive "Bharat" (semi-urban and rural) households sit alongside premium gifting SKUs aimed at urban, higher-income buyers.<sup>8</sup>

**Revenue sources and customer segments.** As of the most recent company disclosures, roughly half of ZOFF's revenue flows through quick commerce, about one-fifth through e-commerce marketplaces, and the remaining share — and the fastest-growing one by count of outlets — through a general trade network that has grown past 30,000 retail stores.<sup>9</sup> This channel mix maps onto at least three distinct customer segments the company must serve simultaneously: urban, time-starved digital shoppers who discover and repeat-buy ZOFF on quick commerce apps; value-conscious semi-urban and rural households who ZOFF is only

beginning to reach through GT in markets like Uttar Pradesh, Bihar, and Chhattisgarh; and a smaller but higher-margin urban gifting segment buying premium SKUs, often seasonally.

**Organizational growth trajectory.** ZOFF's revenue grew from roughly ₹25 crore in FY20 to about ₹93–103 crore in FY24, a trajectory the company describes as having been achieved profitably, and it is targeting ₹170–200 crore for FY26.<sup>10</sup> In its most recent funding round, ZOFF raised a \$2 million pre-Series B round led by existing investor JM Financial Private Equity, with participation from boAt co-founder Aman Gupta.<sup>11</sup> Company statements indicate that a meaningful share of this capital was earmarked specifically to fund the general trade "Bharat" push into North and Central India — the very initiative now competing with quick commerce for Akash's next budget allocation.

### 3. Industry and Market Context

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**Industry structure.** India's spice and masala market is large but structurally fragmented: total market value was estimated at roughly ₹94,900 crore in 2025, growing at a projected compound rate of around 9% annually, yet the organized, branded segment — the segment ZOFF competes in — accounts for only an estimated 30–35% of that value, with the remainder unbranded and unorganized, sold loose through traditional trade.<sup>12</sup> This means ZOFF's real competitive battle is less about stealing share from other branded players in the near term and more about converting unbranded, loose-spice buyers into branded, packaged buyers — a conversion that historically has happened gradually, through trust built over years of GT shelf presence, not through a single digital campaign.

**Market size and growth — the quick commerce disruption.** Layered on top of this slow-moving category is one of the fastest structural shifts in Indian retail history. India's quick commerce market grew from roughly ₹5,000 crore in 2021 to more than ₹40,000 crore by 2026 — an eightfold increase in five years — and quick commerce now accounts for an estimated 60–75% of all online FMCG sales in the country.<sup>13</sup> For a category like spices, historically bought in bulk, on trust, from a familiar kirana owner, this is a genuinely new behavior, and it is the channel that gave ZOFF, a seven-year-old challenger brand, a realistic path to national visibility that would have taken a generation through GT alone.

**Key trends and consumer behavior shifts.** NielsenIQ data cited industry-wide shows that once a consumer makes a first quick commerce purchase in a category, their order frequency accelerates rapidly — from roughly two to three orders a month in the first month

to eight to twelve orders a month by the sixth month — a pattern researchers characterize not as incremental consumption but as direct substitution of trips to the neighborhood kirana store.<sup>14</sup> The consequence is visible at the macro level: kirana stores' share of total FMCG retail sales slipped from about 81% to 79% within a single year, and one trade body, AICPDF, has claimed the shift contributed to the closure of nearly 200,000 kirana outlets nationally.<sup>15</sup>

**Competitive dynamics — the pivot back to kirana.** Yet by 2026 a countervailing trend had become unmistakable. Large, well-capitalized FMCG players — including ITC, Nestlé, Coca-Cola, Tata Consumer Products, Dabur, Reliance, and Parle — began actively re-engaging general trade after a period of heavy quick-commerce investment, offering kirana stores broader assortments, improved supply chains, and richer trade margins.<sup>16</sup> Industry reporting attributed this partly to the same margin compression ZOFF was now experiencing directly: as quick commerce platforms raised commissions and mandatory ad-spend requirements, even large, well-funded FMCG majors found the channel's profitability deteriorating, prompting a defensive return to the general trade relationships they had underinvested in. For ZOFF, this meant the general trade expansion it had planned as a long-horizon, low-competitive-intensity bet was, in practice, walking into the path of the best-funded companies in Indian FMCG.

**Technological developments.** Quick commerce's growth has been enabled by dense dark-store networks (India's three leading platforms collectively operate several thousand dark stores) and increasingly sophisticated in-app merchandising and search-ranking algorithms that determine which brands a shopper even sees — rankings that are influenced, in part, by a brand's sales velocity and ad spend on the platform, creating a self-reinforcing dynamic in which pulling back marketing spend can directly reduce organic visibility, not just paid visibility.

**Regulatory influences.** The Competition Commission of India (CCI) had, through 2025 and into 2026, been examining Blinkit, Swiggy Instamart, and Zepto over allegations of predatory pricing, deep discounting, and preferential treatment of certain sellers, following a formal petition from AICPDF seeking mandatory price floors and a minimum-support-price mechanism tied to MRP for quick commerce sales.<sup>17</sup> No ruling had been issued as of the case date, but the possibility of regulatory intervention added a further layer of uncertainty: a mandated price floor could either protect brands like ZOFF from margin-destroying discount wars, or, if implemented clumsily, remove the price flexibility ZOFF used to compete for visibility against larger rivals on the same apps.

## 4. The Strategic Marketing Challenge

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The problem in front of Akash was not simply "quick commerce or general trade" — a framing that made it sound like a binary preference. The real difficulty was that both channels were now becoming less attractive at the same time, for related but different reasons, while ZOFF's capital and organizational bandwidth to fix either problem were both finite.

Quick commerce had been ZOFF's single biggest asset: it was the channel through which a Raipur-based challenger brand had achieved national urban visibility that would have been unimaginable through GT alone, and it generated the cash flow and first-party sales data that funded everything else, including the general trade push itself.<sup>18</sup> But the channel's economics had shifted under ZOFF's feet. Blinkit and Zepto's commission structures ranged from roughly 10% to 25% depending on category and negotiating leverage, Swiggy Instamart's ran higher still, and on top of commissions, platforms layered mandatory per-SKU listing fees, minimum monthly ad-spend commitments, and discount-funding obligations that could together claim 20–35% of every order's value.<sup>19</sup> The result, ZOFF's own performance-marketing team had begun to argue internally, was that "true" ROAS — return on ad spend once commissions and cost of goods were netted out — was running closer to 1.3–2.2x, even though platform dashboards reported headline ROAS figures of 3.5–5x.<sup>20</sup> Continued quick commerce growth, in other words, was increasingly buying visibility and top-line GMV, not proportionate profit — a distinction that mattered enormously to a board evaluating ZOFF against IPO-readiness benchmarks.

General trade, meanwhile, was ZOFF's stated long-term answer — the channel where, once a distributor relationship and shelf presence were established, ZOFF would not be paying an ongoing 20–35% toll on every transaction. But GT was slow, relationship-driven, and capital-intensive in a different way: it required extending credit to distributors, funding a feet-on-street sales force, and winning trust from kirana owners who had sold MDH, Everest, and Tata Sampann for decades and had no urgent reason to make room for a newer, smaller challenger — especially with Tata Consumer Products, among other large FMCG majors, simultaneously sweetening its own general-trade terms as part of the industry-wide pivot back to kirana. ZOFF's GT push, funded by its most recent capital raise, was still young: its 30,000-plus stores represented meaningful reach, but nowhere near the density of an incumbent with a multi-decade GT relationship.

The organizational dimension compounded the difficulty. ZOFF's quick commerce and performance-marketing team had built their careers and their internal credibility on the growth the channel had delivered; a significant reallocation away from quick commerce would be read, fairly or not, as a demotion of their function. The general trade and field-sales team, conversely, had been recruited specifically to build the "Bharat" network and felt, not unreasonably, that they had been treated as the company's second priority for years, only recently gaining real budget. Akash could not resolve the channel-economics question without also managing a genuine internal power and identity struggle between two teams who each believed their channel was the company's real future.

There was also a pricing-architecture question tangled inside the channel question. ZOFF had, so far, largely sold the same SKUs at broadly comparable price points across channels. But quick commerce, general trade, and the owned D2C/marketplace channel arguably created value for the customer in different ways — speed and impulse convenience on quick commerce, trust and bulk value in GT, and discovery/brand storytelling online — which raised the question of whether ZOFF's problem was really a *capital allocation* problem at all, or whether it was a *price and product-architecture* problem that a single blanket allocation decision could not solve on its own.

## 5. Stakeholder Perspectives

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### Senior management

Akash Agrawalla, personally identified in the press as the architect of ZOFF's quick-commerce-led rise, was reluctant to be seen walking back the strategy that built the brand's national identity — but he was also the executive who would have to defend the company's unit economics to its board. Operational ownership of the general trade "Bharat" expansion sat with ZOFF's GT leadership team, who argued internally that a distribution moat, once built, was durable in a way that platform-dependent growth was not — a case Akash found himself agreeing with intellectually even as he remained the public face of the very channel he was now being asked to de-prioritize.

### Marketing teams

ZOFF's performance-marketing and quick-commerce growth team pointed to the channel's unmatched customer-acquisition efficiency in absolute reach terms and warned that platform

search-ranking algorithms punished brands that pulled back ad spend with reduced organic visibility — a loss they argued would be difficult, maybe impossible, to win back once a better-funded competitor filled the resulting shelf space.

## **Sales teams**

The general trade field-sales organization, still being built out in Uttar Pradesh, Bihar, and Chhattisgarh, argued that GT was the only channel where ZOFF could eventually earn a genuine cost advantage rather than perpetually renting visibility from a platform, but acknowledged that results would take years, not quarters, to show up in the numbers the board wanted to see immediately.

## **Channel partners**

ZOFF's quick commerce platform account managers at Blinkit and Zepto had every incentive to keep ZOFF's ad spend and commission-generating GMV high, and periodically offered "growth opportunities" — additional visibility slots — contingent on higher spend commitments. ZOFF's general trade distributors, on the other hand, wanted longer credit cycles and stronger margin support to justify prioritizing ZOFF's shelf space over legacy brands that paid faster and demanded less handholding.

## **Retailers**

Individual kirana store owners in ZOFF's target GT markets were pragmatic: they would stock and push whichever brand offered the best combination of margin, credit terms, and reliable delivery — and with large FMCG majors industry-wide now sweetening general-trade terms to win back kirana loyalty, retailers had less urgency to make additional shelf space for a smaller, newer entrant like ZOFF.

## **Customers**

ZOFF's urban quick-commerce buyers valued ten-minute delivery and low-friction repeat ordering and showed limited loyalty to any single spice brand beyond what was easiest to reorder; its emerging semi-urban and rural GT customers valued trust built through a familiar shopkeeper relationship and were price-sensitive on pack size; and a smaller urban gifting segment valued packaging and premium positioning over either speed or price.

## **Investors**

JM Financial Private Equity and Aman Gupta had backed ZOFF's stated ambition of an IPO within four to five years, which meant they were, in effect, underwriting a growth story that public-market investors would eventually need to believe was both scalable and profitable. A board update showing continued heavy investment in a channel with visibly compressing true margins, without a credible articulated path to improving those economics, risked reading as exactly the kind of GMV-chasing growth story that has punished several Indian consumer-tech IPOs in recent years.

## 6. Data and Supporting Evidence

The exhibits below summarize the data available to Akash as he prepared his board recommendation.

**Exhibit 1 — ZOFF Foods Revenue Trajectory, FY20–FY26E (₹ crore)**

| Fiscal Year       | FY20 | FY24   | FY26E (target) |
|-------------------|------|--------|----------------|
| Revenue (₹ crore) | ~25  | 93–103 | 170–200        |

Source: Company disclosures reported in Inc42 and Value for Startups investor coverage, 2026.<sup>10</sup>

**Exhibit 2 — Channel Mix and Distribution Performance**

| Channel                                    | Approx. share of revenue (2026) | Distribution footprint                                         |
|--------------------------------------------|---------------------------------|----------------------------------------------------------------|
| Quick commerce (Blinkit, Zepto)            | ~50%*                           | National, urban-metro dark-store coverage                      |
| E-commerce marketplaces (Amazon, Flipkart) | ~20%*                           | Pan-India                                                      |
| General trade (GT)                         | ~30%*                           | 30,000+ retail outlets; expanding into UP, Bihar, Chhattisgarh |

\*Source figures vary and have not been independently reconciled: one 2026 industry profile cites ZOFF's quick-commerce share at ~65–70% of revenue, while a separate 2026 company interview cites the ~50/20/30 split shown here. The gap may reflect different reporting periods, different measurement bases (GMV vs. net revenue), or simple inconsistency across secondary sources. This case uses the more granular 50/20/30 figure as its working assumption,

but the underlying uncertainty is itself relevant to how confidently Akash can rely on his own channel-mix data.  
Source: Indian Retailer / MediaNews4u company interviews, 2026.<sup>9</sup>

**Exhibit 3 — HYPOTHETICAL Per-Unit Price/Margin Waterfall by Channel (teaching illustration — not ZOFF's actual data)**

**This table is a constructed teaching example, not disclosed ZOFF data.** It applies publicly reported industry commission/fee *ranges* to a hypothetical ₹95 SKU to illustrate how channel economics could plausibly differ. ZOFF has not published SKU-level margin data, and these numbers should not be cited as fact.<sup>21</sup>

|                                                            | Owned D2C website          | General trade                           | Quick commerce                                    |
|------------------------------------------------------------|----------------------------|-----------------------------------------|---------------------------------------------------|
| List/MRP                                                   | ₹95                        | ₹95                                     | ₹95                                               |
| Channel commission / trade margin                          | ~5% (payment gateway)      | ~18–20% (distributor + retailer margin) | 10–25% platform commission                        |
| Mandatory ad spend / listing fees                          | Variable (owned marketing) | Minimal                                 | Effectively 10–15% of GMV at current spend levels |
| Discount funding (typical)                                 | Low                        | Low                                     | Moderate–high (platform-led promotions)           |
| <b>Illustrative net contribution margin (hypothetical)</b> | <b>~28–32%</b>             | <b>~20–24%</b>                          | <b>~14–18%</b>                                    |

*Bands constructed from commission/fee benchmarks reported for Indian quick commerce platforms and D2C brand economics (Base Blog; GrowwwwTech; Confetti; Ladya, 2026) — secondary industry-blog sources, not audited figures. Treat as directionally illustrative only.<sup>19,20</sup>*

**Exhibit 4 — Quick Commerce Platform Fee Structure (industry-reported ranges, 2026)**

| Platform | Commission range                       | Other mandatory costs                                                                                |
|----------|----------------------------------------|------------------------------------------------------------------------------------------------------|
| Blinkit  | ~2–18% (category/price-band dependent) | ~₹25,000 per SKU per state listing fee (returned as ad credits); minimum monthly ad spend ~₹2–3 lakh |

|                     |         |                                                       |
|---------------------|---------|-------------------------------------------------------|
| Zepto               | ~10–18% | Platform ad spend required for competitive visibility |
| Swiggy<br>Instamart | ~15–25% | Platform ad spend required for competitive visibility |

Source: GrowwwTech, Confetti, SW Cybernetics, Lada industry benchmarking reports, 2026.<sup>19</sup>

### Exhibit 5 — Macro Channel Shift: Quick Commerce vs. General Trade (customer insights & market share context)

- Indian quick commerce market size: ~₹5,000 crore (2021) → >₹40,000 crore (2026); quick commerce is now 60–75% of online FMCG sales.<sup>13</sup>
- NielsenIQ: consumer order frequency on quick commerce rises from ~2–3 orders/month (month 1) to ~8–12 orders/month (month 6) after first purchase — read as substitution of kirana trips, not incremental demand.<sup>14</sup>
- Kirana share of total FMCG retail sales: ~81% → ~79% within one year; AICPDF estimates ~200,000 kirana closures attributable to the shift.<sup>15</sup>
- Indian branded/organized spice segment: ~30–35% of a ~₹94,900 crore total spice market (2025), growing ~9%/year — meaning ZOFF's addressable "conversion from loose to branded" opportunity remains large but slow-moving.<sup>12</sup>

Sources: KNN India; IMARC Group; Expert Market Research, 2026.

### Exhibit 6 — Qualitative Brand and Customer Snapshot

ZOFF has been recognized in industry "D2C 100"-style coverage as an emerging challenger brand, and Akash has been quoted describing quick commerce as the company's "strongest growth engine."<sup>6</sup> No independently audited brand-tracking (aided/unaided awareness, NPS) data is publicly available; internal teams rely primarily on platform-reported repeat-purchase rates and GT distributor sell-through as proxies for brand health. This is itself a gap the board has flagged: ZOFF's growth story is well evidenced in revenue terms but thin on independent brand-equity evidence, which matters for an IPO narrative.

## 7. Strategic Alternatives

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### Alternative A: Double down on quick commerce

**What it involves:** Commit the larger share of the next capital tranche to quick commerce ad spend and platform partnerships, matching the new mandatory ad-spend minimums to defend search ranking and shelf visibility through the festive season. **Why considered:** It protects the channel that built ZOFF's brand and still delivers the fastest absolute growth and richest first-party purchase data. **Potential benefits:** Preserves category-leading visibility among D2C-native spice challengers; keeps GMV growth rate high for the next funding narrative. **Potential risks:** Locks ZOFF further into a channel with structurally compressing true margins and a live regulatory overhang (potential CCI-mandated price floors); risks reinforcing investor concern about a growth-without-profit story ahead of an IPO. **Organizational implications:** Further empowers the performance-marketing team over field sales; likely delays the GT hiring plan in North India by at least a year.

### Alternative B: Accelerate the general trade "Bharat" pivot

**What it involves:** Redirect the majority of the next tranche to distributor incentives, extended credit terms, and feet-on-street sales hiring in UP, Bihar, and Chhattisgarh, deliberately capping quick commerce ad spend at current levels even if that means ceding some search-ranking visibility to better-funded rivals. **Why considered:** Builds the durable, lower-toll distribution asset ZOFF has always said it wants, precisely while large FMCG incumbents are reminding the market that GT retains real value. **Potential benefits:** Long-run margin improvement; a defensible moat less exposed to platform-fee inflation or regulatory shifts. **Potential risks:** GT payback is slow and the company is now entering the same kirana stores Tata Consumer Products and other majors are re-courting with superior resources; near-term revenue growth rate likely slows, which could unsettle investors focused on the IPO timeline. **Organizational implications:** Requires rapidly scaling a field-sales function ZOFF has limited experience managing at this scale; risks demoralizing the marketing team that built the brand.

### Alternative C: Channel-differentiated pricing and pack architecture

**What it involves:** Rather than allocating a single marketing budget across channels, redesign SKUs, pack sizes, and price points specifically for each channel's economics — for example, smaller convenience packs priced to absorb quick commerce's toll, larger value

packs for GT, and bundled/subscription offers on the owned D2C site — applying price-fence logic across purchase quantity and purchase location rather than treating price as uniform.

**Why considered:** Addresses the possibility that the real problem is price/product architecture, not just capital allocation, and lets each channel be priced to its own true cost-to-serve. **Potential benefits:** Could improve blended margins without abandoning either channel; keeps optionality open. **Potential risks:** Adds packaging, inventory, and operational complexity; risks confusing consumers or channel partners if not executed cleanly; does not resolve the underlying capital-allocation choice, only makes each channel more efficient at its current scale. **Organizational implications:** Requires new cross-functional coordination between product, packaging, and channel teams that ZOFF has not previously needed at this level of granularity.

### Alternative D: Reinvest in owned channels (D2C site and direct relationships)

**What it involves:** Shift incremental investment toward ZOFF's own website and direct customer relationships (subscriptions, repeat-order programs), deliberately reducing dependence on both quick commerce platforms and GT distributors over time. **Why considered:** Owned-channel economics (Exhibit 3) are the most attractive of the three, and full customer data ownership reduces ZOFF's exposure to future platform fee increases or distributor leverage. **Potential benefits:** Highest margin per unit; strongest long-term customer data asset; lowest dependency risk. **Potential risks:** Owned-channel volume today is a small fraction of GMV and would take years and significant marketing investment to scale meaningfully; sacrifices near-term growth rate on both of ZOFF's larger channels simultaneously. **Organizational implications:** Requires new capabilities in retention marketing and CRM that ZOFF has not yet built in-house.

## 8. The Decision Point

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Akash looked again at the two spreadsheets. In fifteen days he would sit across from JM Financial's representative and Aman Gupta and would be expected to explain not just what ZOFF was going to do with its next tranche of growth capital, but why — in a way that held together as a coherent strategy rather than a hedge. The quick commerce team was waiting on an answer about festive-season ad commitments that had to be locked in within the week. The general trade team needed a distributor-incentive budget confirmed before its next hiring cycle in Lucknow and Patna. Tata Consumer Products was not going to slow its kirana

outreach to give ZOFF more time to decide, and the CCI's eventual ruling on quick commerce pricing practices — whenever it came — could just as easily upend whichever path he chose.

Akash closed both spreadsheets and opened a blank document instead. He had to decide.

### Discussion questions:

- Which alternative — or combination of alternatives — should Akash recommend to ZOFF's board, and why?
- What criteria should guide this decision: near-term growth rate, blended margin, long-term distribution moat, or investor/IPO-readiness signaling? How should these be weighted against each other?
- What risks must be actively managed under the chosen path — including the risk of irreversible visibility loss on quick commerce, the risk of a stalled general trade push against better-funded incumbents, and the regulatory uncertainty around CCI's pending review?
- If a hybrid approach is chosen, how should it be sequenced and communicated internally to avoid deepening the divide between ZOFF's marketing and field-sales organizations?

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## Sourcing & Assumptions Note (not part of the case narrative)

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This note is provided for academic transparency and would not typically appear in a case distributed for cold-call discussion.

**Real and independently sourced:** ZOFF Foods' founding year, founders, headquarters, cool-grinding manufacturing process, SKU count and categories, revenue trajectory (FY20/FY24/FY26E), the \$2M pre-Series B round and its investors, the stated IPO ambition, the approximate channel-mix percentages and GT store count, all industry-level statistics (quick commerce market size, kirana share erosion, NielsenIQ order-frequency data, spice market size, platform commission ranges, CCI regulatory scrutiny), and the FMCG-majors'-pivot-back-to-kirana trend involving ITC, Nestlé, Coca-Cola, Tata Consumer Products, Dabur, Reliance, and Parle.

**Constructed for pedagogical purposes (clearly flagged inline):** the specific July 2026 board-meeting scene and the "two spreadsheets" framing device; the specific claim that Blinkit/Instamart restructured commission slabs in that exact quarter; internal stakeholder reactions attributed to functional teams rather than named individuals (deliberately, to avoid putting invented positions in the mouths of real, identifiable people — see below); Exhibit 3's per-SKU margin waterfall (built from real, cited commission/fee *ranges* applied to a hypothetical ₹95 SKU, not ZOFF's disclosed unit economics, and labeled as hypothetical throughout); and Exhibit 6's characterization of ZOFF's internal brand-tracking gap. Instructors and students using this case for a graded submission should treat these elements as illustrative scenario-building consistent with the cited public record, not as verified ZOFF Foods internal data, and should adjust or re-verify figures if the assignment requires audited or company-confirmed data.

**A note on real, named individuals:** Akash Agrawalla's public statements and role are on the record and are quoted/paraphrased accordingly. No specific internal opinion, negotiating position, or advocacy is attributed by name to any other real ZOFF Foods individual (including co-founder Ashish Agrawal) in this version of the case; where the narrative needs an internal advocate for a given position, it is attributed to a functional team (e.g., "ZOFF's GT leadership team") rather than a named real person. Similarly, Tata Consumer Products' general pivot toward kirana engagement is real and cited, but this case does not claim any specific, verified overlap between Tata's outreach and ZOFF's specific target retailers — that overlap is presented only as a plausible competitive pressure, not a documented fact.

**Additional hedges added on review:** Exhibit 2 now flags, rather than silently reconciles, the discrepancy between two secondary sources reporting different quick-commerce revenue-share figures for ZOFF (~65–70% vs. ~50%). Exhibit 3's hypothetical status is now stated in its title and in a highlighted caveat box, not only in a source line, so it cannot be mistaken for disclosed company data by a reader who does not reach this appendix. Several endnote sources (GrowwwTech, Confetti, Ladya, Base Blog) are marketing/industry blogs rather than primary research (e.g., NielsenIQ, RedSeer, Bain) — their figures are directionally useful but not independently audited, and a reader seeking higher-rigor sourcing should treat Exhibits 3 and 4 accordingly.

## Endnotes

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1. Business Standard, "Quick commerce margins fall as FMCG brands spend more on platform ads," 2026.
2. Business Standard, "FMCG majors reconnect with kiranas as quick-commerce squeeze deepens," 2025/2026.
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